

NAIC AI Governance

Readiness Checklist — 2026

10 questions every insurance compliance team should be able to answer for the NAIC AI Systems Evaluation Tool — now live in 12 states.

Why this matters now: The NAIC AI Systems Evaluation Tool pilot launched March 2026 across 12 states. Examiners are sending structured questionnaires to carriers today. Full nationwide adoption is expected at the NAIC Fall Meeting — November 2026. This checklist maps to the four exhibits examiners will request.

How to use this checklist:

Answer each question honestly. Green = you have this covered. Red = this is a gap that needs attention before your next examination. Score yourself at the end.

EXHIBIT A — AI System Inventory

Examiners will ask: What AI systems are you using and what decisions do they influence?

Q1	Can you produce a complete inventory of every AI system in use across your organization — including vendor-embedd
	Yes — we have a maintained AI system registry Partial — we have a list but it may be incomplete No — we would need to compile this manually
Q2	For each AI system, do you have documented records of: the function it performs, which decisions it influences, whe
	Yes — all fields documented and current Partial — some systems documented, others not No — this information is scattered or unavailable

EXHIBIT B — Governance Framework

Examiners will ask: How do you govern AI — oversight structures, accountability, audit trails, policy compliance evidence?

Q3	For any AI decision made in the last 24 months — can you identify which version of your internal compliance policy v
----	--

	■ Yes — we have timestamped policy versions linked to decisions ■ Partial — we have some records but gaps exist ■ No — we would need to reconstruct this from logs and emails
Q4	If your compliance policies changed while an AI workflow was running, do you have evidence that the AI system received the updates?
	■ Yes — we have documented verification of policy updates to AI systems ■ Partial — we communicate updates but don't formally verify receipt ■ No — we assume the AI got the update but cannot prove it
Q5	Do you have a continuous audit trail — not just a periodic snapshot — showing AI decision compliance over time, including when policies change?
	■ Yes — continuous monitoring with documented drift incidents ■ Partial — periodic reviews but not continuous monitoring ■ No — we only review during examination preparation
Q6	When a human reviewer overrides an AI recommendation, is that override logged — including who made the decision and why?
	■ Yes — override logging with reasons is systematic and documented ■ Partial — some overrides logged but not consistently ■ No — overrides are tracked informally if at all

EXHIBIT C — High Risk AI System Details

Examiners will ask: For AI systems affecting policyholders — show us the model details, validation, and performance documentation.

Q7	For each high-risk AI system (underwriting, claims, pricing, fraud detection) — do you have current documentation o
	■ Yes — full model documentation maintained and current ■ Partial — documentation exists but may be incomplete or outdated ■ No — this documentation does not currently exist
Q8	Have your high-risk AI systems been tested for potential bias or disparate impact — and is that testing documented
	■ Yes — bias testing completed, documented, remediation tracked ■ Partial — some testing done but not systematic or fully documented ■ No — bias testing has not been formally conducted

EXHIBIT D — AI Data Details

Examiners will ask: What data feeds your AI, where does it come from, and how do you ensure it doesn't create discriminatory outcomes?

Q9	Can you document the data sources feeding each high-risk AI system — including data quality controls, how represe
	■ Yes — data lineage documented for all high-risk systems ■ Partial — some data sources documented but not all ■ No — data lineage documentation does not currently exist

The Examiner's Hardest Question

Q10	If a state examiner called you today and asked: 'Show me every AI-assisted underwriting decision made in the last 6
	■ Under 1 hour — we have automated audit trail covering this ■ 1-3 days — we can reconstruct it but it requires manual effort ■ 1-2 weeks — significant engineering work required ■ We cannot answer this question today

Your Score

Score	What it means	What to do
9-10 Yes	Examination ready. Strong governance posture.	Document everything. Schedule a practice run before your next examination.
6-8 Yes	Partially ready. Gaps exist that examiners will find.	Prioritize the red questions. Build documentation for Exhibit B gaps first.

3-5 Yes	Significant exposure. Examination will be un	Start with AI System Registry and policy version audit trail immediately.
0-2 Yes	High risk. Examination findings likely.	Address before November 2026 nationwide adoption. Start today.

What PolicyProof Covers

PolicyProof produces the Exhibit B documentation examiners request — automatically and continuously.

Question	NAIC Exhibit	PolicyProof
Q1 — AI System Inventory	Exhibit A	✓ AI System Registry — built
Q2 — AI System Documentation	Exhibit A	✓ AI Registry with all fields
Q3 — Policy version per decision	Exhibit B	✓ Core feature — built
Q4 — Policy update verification	Exhibit B	✓ Stale drift detection — built
Q5 — Continuous audit trail	Exhibit B	✓ Governance health timeline — built
Q6 — Override logging	Exhibit B	Coming soon — next sprint
Q7 — Model documentation	Exhibit C	Partial — policy version coverage
Q8 — Bias testing	Exhibit C	Out of scope — specialist tool needed
Q9 — Data lineage	Exhibit D	Out of scope — data governance tool needed
Q10 — Examiner's hard question	All exhibits	✓ One-click audit report — built

See PolicyProof in action. Pre-loaded with insurance demo data — underwriting decisions, policy mutations, stale drift detection, and one-click NAIC-formatted audit report. No signup required.
policyproof.vercel.app/app.html